

STMicroelectronics N.V.

NYSE: STM | Semiconductors — Analog / Power / MCU (Integrated Device Manufacturer) | Domicile: Geneva, Switzerland

RATING	12-MTH TARGET	CMP (03-Jun-26)	IMPLIED RETURN
REDUCE	\$62.00	\$79.71	-22%

Market Cap	\$70.66 B	Enterprise Value	\$69.26 B
52-Week Range	\$21.11 – \$81.42	52-Wk Price Chg	+218% (RSI 81)
Trailing P/E	480.7x	Forward P/E	47.4x
Price / Book	3.89x	EV / EBITDA (TTM)	27.8x
Book Value / sh	\$19.99	Dividend Yield	0.38% (DPS \$0.36)
ROE (TTM)	0.91%	ROCE / ROIC (TTM)	2.79% / 1.64%
Net Cash	+\$1.79 B	Debt / Equity	0.15x
Shares Out	888.8 M	Beta (5Y)	1.51
Street Consensus	Buy (15 analysts)	Street Target	\$61.16 (-23%)

Investment thesis (one line): Quality IDM emerging from a brutal down-cycle, but the stock has tripled to a 480x P/E while the street's own target sits 23% lower.

Investment horizon: 12 months • Report date: 03 June 2026 • Analyst: MPM Institutional Research (Senior Semiconductors Analyst)
All financial data sourced from stockanalysis.com (fetched 03-Jun-2026). Figures in US\$ unless stated. Forward estimates labelled (E).

2. INVESTMENT THESIS

- **Reason 1 — Cyclical earnings recovery off a genuine trough:** FY2025 net income collapsed to \$299M (EPS \$0.33) from \$4.21B in FY2023 as automotive (-24%) and industrial (-7%) corrected. With distribution inventory normalising, consensus models a ~+15% revenue CAGR and ~+160% EPS growth over the next 3 years — the operating leverage on STM's ~\$11.8B revenue base is real if utilisation recovers.
- **Reason 2 — AI data-centre is a credible new growth leg:** Management guides data-centre revenue 'nicely above \$500M' in 2026 and 'well above \$1B' in 2027, with design wins spanning AWS, NVIDIA and Qualcomm. This is the single change to the structural story versus the prior cycle and is what the market is paying up for.
- **Reason 3 — Fortress balance sheet funds the wait:** Net cash of \$1.79B, D/E of 0.15x, current ratio 3.31x and Altman Z of 3.77 mean STM can sustain its ~\$2.0B+ capex programme, the \$0.36 dividend and buybacks through the trough without dilution — a luxury most cyclicals lack.
- **Near-term catalyst (6-12 months):** Q2 2026 results (23-Jul-2026) — management already guided revenue to \$3.45B (+24.9% YoY) and gross margin to ~34.8%. A clean beat plus a second-half guide-up would validate the V-shape; a miss would puncture a stock priced for perfection.
- **Biggest structural risk:** The IDM model is fixed-cost-heavy. At 480x trailing / 47x forward earnings and an RSI of 81 after a +218% run, the stock has already discounted a full recovery — leaving asymmetric downside if the auto/industrial rebound is shallower or later than priced.

3. BUSINESS OVERVIEW

- **What it does:** STMicroelectronics is a top-10 global semiconductor company and a vertically-integrated device manufacturer (IDM) — it designs AND fabricates chips across analog, power & discrete, microcontrollers, MEMS/sensors and RF. It owns front-end fabs (incl. 300mm in Agrate/Crolles and silicon-carbide capacity in Catania and Chongqing).

- **End-market mix (FY2025):** Automotive ~39%, Personal Electronics ~25%, Industrial ~21%, Communications Equipment & Computer Peripherals ~15%. Automotive + Industrial (~60% of sales) are the cyclical core; Personal Electronics provides the engaged-customer (Apple-linked imaging/MEMS) ballast.
- **Product segments (FY2025 YoY):** Analog, MEMS & Sensors +7.5% (imaging-led); Embedded Processing (MCUs) +1.2%; RF & Optical Communication +22.9%; but Power & Discrete -31.6% — the SiC/automotive power drag was the dominant swing factor of the down-cycle.
- **Customers & visibility:** Mix of large engaged-customer programmes (recurring, multi-year design-ins in auto and personal electronics) and broad-based distribution (book-and-ship, the part that over-corrected). Revenue visibility is improving but STM does not disclose a formal order book.
- **Recent strategic developments:** (i) Closed the acquisition of NXP's MEMS sensor business in Q1 2026 (goodwill rose to \$707M), bolstering the AM&S; franchise; (ii) ongoing manufacturing-reshaping / cost programme targeting a lower fixed-cost base by 2027; (iii) accelerating data-centre / AI power and optics design wins.
- **Ownership:** No single promoter — STM is ~27.5% owned by a holding structure jointly controlled by the French and Italian governments (FT1CI / STMicroelectronics Holding). Institutions hold ~36%, insiders ~0.04%. State co-control is a governance feature: it underwrites European fab investment but constrains aggressive restructuring.

4. INDUSTRY & COMPETITIVE LANDSCAPE

- **Industry size & growth:** Global semiconductors are a ~\$630-700B industry (2025) growing at a high-single to low-double digit CAGR, but the bulk of 2024-25 growth was AI/data-centre and memory — STM's core auto/industrial analog & power segment is only now exiting its down-cycle, with WSTS/SEMI pointing to a 2026-27 recovery.
- **Policy tailwinds:** EU Chips Act and national subsidies (France/Italy) co-fund STM's 300mm and SiC capex; automotive electrification and ADAS structurally lift silicon content per vehicle. **Headwinds:** Chinese power-discrete / SiC capacity build-out is compressing pricing, and export-control complexity raises compliance cost.
- **Moat — Scale in manufacturing: Strong** — IDM scale and a broad analog/power/MCU portfolio with auto-grade qualification are hard to replicate.
- **Moat — Switching costs: Moderate** — multi-year auto design-ins are sticky, but distribution/MCU sockets face credible Chinese substitution.
- **Moat — Pricing power: Weak (currently):** gross margin fell from 47.9% (FY2023) to ~29-34% (FY2025) — proof that pricing power evaporates when utilisation drops in a fixed-cost IDM.
- **Value-chain position:** Upstream-to-midstream IDM (owns wafer fab + design) selling components to OEMs and Tier-1s — capital-intensive, higher operating leverage than fabless analog peers (TXN excepted, also an IDM).

Peer snapshot (Section 4) — stockanalysis.com, 03-Jun-2026:

Company	CMP (\$)	Mkt Cap	TTM Rev	ROCE
STMicroelectronics (STM)	79.71	\$70.7 B	\$12.38 B	2.8%
NXP Semiconductors (NXPI)	321.88	\$81.3 B	\$12.62 B	14.5%
Texas Instruments (TXN)	308.59	\$280.9 B	\$18.44 B	21.2%
Analog Devices (ADI)	437.67	\$213.2 B	\$12.74 B	9.6%
ON Semiconductor (ON)	133.93	\$52.5 B	\$6.06 B	12.8%

STM earns the lowest ROCE in its cohort today (cycle trough); the gap to NXPI/TXN is the recovery the stock is pricing.

5. MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Leadership:** President & CEO Jean-Marc Chery (STM veteran, CEO since 2018) and CFO Lorenzo Grandi are long-tenured operators who navigated the 2021-23 up-cycle well. Their credibility now rests on delivering the promised cost reduction and margin recovery — execution, not strategy, is the question.

- **Capital allocation — capex-led:** The defining choice has been heavy fab investment — capex of \$4.44B (FY2023), \$3.09B (FY2024), \$2.11B (FY2025). That counter-cyclical build crushed FCF (FCF/OCF fell to 8% in FY2024) but positions capacity for the recovery; capex is now being moderated.
- **Shareholder returns:** Dividend held flat at \$0.36/share through the down-cycle (payout now an unsustainable-on-trough-earnings 190%, but easily funded from the balance sheet); buybacks of ~\$0.36-0.40B/year (buyback yield ~2.0%, shareholder yield ~2.4%).
- **Restructuring:** A manufacturing-reshaping and cost programme is underway; a \$141M restructuring charge hit Q4 2025. CFO Grandi guides these operational charges to decline through 2026, becoming a gross-margin tailwind — a key swing factor to monitor.
- **Governance:** Franco-Italian state co-control (~27.5%) is the central governance fact — it secures subsidy access and long-term fab commitment but slows hard restructuring (plant closures, headcount) versus a purely private peer. No auditor or accounting red flags; related-party exposure is low.
- **No promoter pledge / FII-DII split:** N/A — these are India-specific disclosures and do not apply to a NYSE-listed Dutch-domiciled company.

6. FINANCIAL DEEP-DIVE

Income Statement (US\$ M; FY = calendar year). FY26E/FY27E are MPM estimates grounded in company Q2-26 guidance and 3-yr consensus growth.

US\$ M	FY2023	FY2024	FY2025	FY2026E	FY2027E
Revenue	17,286	13,269	11,800	13,300	15,000
Revenue growth %	+7.2%	-23.2%	-11.1%	+12.7%	+12.8%
Gross Profit	8,287	4,923	3,454	4,655	5,850
Gross Margin %	47.9%	37.1%	29.3%	35.0%	39.0%
EBITDA	6,172	3,744	2,459	3,350	4,500
Operating Income (EBIT)	4,611	1,688	320	1,200	2,300
Operating Margin %	26.7%	12.7%	2.7%	9.0%	15.3%
Pretax Income	4,763	2,584	902	1,300	2,450
Net Income	4,211	1,987	299	1,000	1,950
Net Margin %	24.4%	15.0%	2.5%	7.5%	13.0%
EPS (diluted, \$)	4.46	2.19	0.33	1.12	2.18

Gross/operating margins are computed from the stockanalysis.com income statement; ST's company-reported FY2025 gross margin (33.9%) and operating margin (1.5%) differ modestly due to COGS classification.

Balance Sheet (US\$ M)

US\$ M	FY2023	FY2024	FY2025
Cash & Short-Term Investments	4,448	3,732	3,937
Accounts Receivable	1,731	1,749	1,745
Inventory	2,696	2,806	3,131
Total Current Assets	11,853	11,748	11,266
Net Property, Plant & Equipment	10,594	10,889	11,062
Goodwill	285	272	297
Total Assets	25,425	25,764	25,932
Total Current Liabilities	5,679	4,517	4,103
Total Debt	2,799	2,848	2,010
Total Liabilities	8,061	7,099	6,658
Shareholders' Equity	17,364	18,665	19,274
Net Cash (Debt)	+1,649	+884	+1,927

Cash Flow (US\$ M)

US\$ M	FY2023	FY2024	FY2025
Operating Cash Flow	5,992	3,342	2,573
Depreciation & Amortisation	1,561	2,056	2,139
Capital Expenditure	-4,439	-3,088	-2,111
Investing Cash Flow	-5,766	-4,096	-423
Free Cash Flow	1,553	254	462
FCF Margin %	9.0%	1.9%	3.9%
Dividends Paid	-223	-288	-321
Buybacks	-400	-359	-367
FCF / OCF conversion %	26%	8%	18%

Returns & Working Capital

Metric	FY2023	FY2024	FY2025	TTM
Return on Equity (ROE)	27.4%	11.1%	1.7%	0.9%
Return on Invested Capital	26.1%	8.0%	1.2%	1.6%
Return on Capital Employed	-	-	-	2.8%
Receivable Days	37	48	54	-
Inventory Days	109	123	137	-
Payable Days	75	58	65	-
Cash Conversion Cycle (days)	71	113	126	-

- **Revenue trajectory:** A textbook semi down-cycle — peak \$17.3B (FY2023) → trough \$11.8B (FY2025), a 32% peak-to-trough fall driven almost entirely by Power & Discrete (-31.6%) and automotive (-24%). Q1-26 (+23% YoY) and the Q2-26 guide (\$3.45B, +24.9% YoY) signal the inflection is underway.
- **Margins — the whole story:** Operating margin compressed from 26.7% to 2.7% in two years. In a fixed-cost IDM, ~60% of the revenue decline dropped straight through. Recovery is equally levered: every point of utilisation is high-incremental-margin, which is the bull case — and why FY26E/27E margins rebuild fast.
- **Working capital deteriorating:** Cash conversion cycle stretched from 71 to 126 days as inventory days climbed to 137 — STM built/hold inventory through the trough. A clean recovery should pull this back; failure to do so would flag demand is not as firm as guided.
- **Balance sheet — net cash throughout:** Net cash of \$1.93B at FY2025 with D/E of just 0.15x. This is the report's strongest fact: the company is in no financial distress despite the earnings collapse.
- **FCF quality is the soft spot:** FCF fell to \$254M (FY2024) under peak capex; even the FY2025 recovery to \$462M is thin against a \$70B market cap (P/FCF >1,500x). FCF normalisation depends on both capex moderation and earnings recovery landing together.

7. EARNINGS QUALITY CHECKLIST

Signal	Rating	Comment
Revenue recognition	GREEN	Standard component sale; no aggressive policies; audited clean (PwC / Ernst & Young rotation per EU rules).
Receivables vs revenue	GREEN	Receivables flat (~\$1.75B) while revenue fell — no channel stuffing; days rose only on the denominator.
Cash conversion cycle trend	AMBER	CCC widened 71 → 126 days on rising inventory (137 days) — watch for write-downs if recovery slips.
Contingent liabilities	GREEN	No material litigation/contingent overhang disclosed; export-control compliance is the live area.
Auditor tenure	GREEN	Big-4 auditor with mandatory EU rotation; no qualified opinions or changes flagged.
Related-party transactions	GREEN	Low RPT exposure; state co-control is at shareholder level, not via operating RPTs.

Signal	Rating	Comment
Other income as % of PBT	AMBER	FY2025 non-operating income (\$582M) exceeded operating income (\$320M) — reported PBT flattered by interest/FX, not operations.
Tax rate consistency	AMBER	Effective tax optically 57% (TTM) due to a tiny pretax base; normalises to mid-teens on recovery — not a red flag, but distorts trailing EPS.

- **Overall: clean reporting, but trailing earnings are not what they seem.** Two AMBER flags matter most for valuation: reported PBT in FY2025 was carried by non-operating income, and the 57% trailing tax rate makes the 480x P/E even more misleading — the business is barely operationally profitable right now.
- **Inventory is the operational watch-item:** 137 inventory days into a recovery is a double-edged sword — upside if it ships into rising demand, downside (write-downs) if the rebound stalls.
- **No accounting red flags:** balance-sheet integrity, receivables discipline and auditor quality are all GREEN — this is an honest cyclical, not a governance problem.

8. VALUATION

Peer comparison — stockanalysis.com, fetched 03-Jun-2026 (TTM):

Company	CMP (\$)	Mkt Cap	P/E	P/B	EV/EBITDA	ROE	ROCE
STM	79.71	\$70.7B	480.7	3.89	27.8	0.9%	2.8%
NXPI	321.88	\$81.3B	30.8	7.48	21.4	25.8%	14.5%
TXN	308.59	\$280.9B	52.7	16.71	33.6	32.4%	21.2%
ADI	437.67	\$213.2B	65.2	6.11	35.5	9.6%	9.6%
ON	133.93	\$52.5B	91.0	6.90	25.7	7.5%	12.8%

Read carefully: STM is the **cheapest on P/B (3.89x)** — its asset-heavy IDM trades near book — yet the **most expensive on earnings** because EBITDA/EPS are at trough. The bull anchors on book; the bear anchors on earnings.

Scenario analysis (12-month, valued on FY2027E):

Scenario	Key assumptions	FY27E EPS	Multiple	Target	Return
Bull	Full V-recovery; data-centre >\$1B; GM back to ~42%; auto re-accelerates	\$2.80	30x P/E	\$88	+10%
Base	Gradual recovery; GM ~39%; data-centre on track; pricing still soft	\$2.18	~25x / 12x EV-EBITDA	\$62	-22%
Bear	Recovery stalls; China SiC/MCU pricing war; auto/industrial soft	\$1.40	18x P/E	\$42	-47%

- **DCF cross-check:** Using STM's own WACC of 12.1% (per stockanalysis.com) and 3% terminal growth on normalising mid-cycle FCF of ~\$2.0-2.5B, the DCF supports roughly \$58-65 per share — below the current \$79.71.
- **Earnings-multiple method:** FY2027E EPS of \$2.18 at a 25x forward P/E (a fair mid-cycle multiple for a lower-margin IDM, between cheap NXPI and premium TXN/ADI) implies ~\$54-55, discounted to a 12-month view.
- **EV/EBITDA method:** FY2027E EBITDA ~\$4.5B at 12x mid-cycle (vs 28x today) plus net cash gives ~\$62/share.
- **Blended base-case target: \$62** — the average of the methods and effectively in line with the street's \$61.16 consensus, implying ~22% downside from \$79.71 over 12 months.
- **The core valuation problem:** at \$79.71 the market already pays a 47x forward / 28x EV-EBITDA multiple — i.e. it has priced the bull case. You are not being paid to wait for a recovery that is already in the price.

9. KEY RISKS

- **Valuation / sentiment reversal** — At RSI 81 after +218%, any data-point that questions the V-shape can de-rate the stock hard. Probability: H. Impact: H. Monitor via: forward P/E vs peers, RSI, street target gap.
- **Auto/industrial recovery is shallower or later than guided** — ~60% of sales; a stop-start rebound delays margin recovery. Probability: M. Impact: H. Monitor via: distributor inventory weeks, auto SAAR, book-to-bill.

- **Chinese competition in SiC / power / MCUs** — Aggressive capacity and pricing erode STM's weakest-moat segments. Probability: M/H. Impact: M/H. Monitor via: Power & Discrete revenue & gross margin, ASP commentary.
- **Gross-margin recovery disappoints** — Unused-capacity charges (~100bps in Q2-26 guide) and pricing keep GM below mid-30s. Probability: M. Impact: H. Monitor via: quarterly GM vs the ~34.8%→40% glide-path.
- **AI/data-centre ramp under-delivers** — The \$500M(26)/\$1B+(27) target is the premium's justification; a slip removes the growth narrative. Probability: M. Impact: H. Monitor via: data-centre revenue disclosure each quarter.
- **Inventory write-downs** — 137 inventory days into an uncertain recovery. Probability: L/M. Impact: M. Monitor via: inventory days, GM charges.
- **FX & geopolitics** — Euro-cost / dollar-revenue mismatch and export-control exposure. Probability: M. Impact: M. Monitor via: EUR/USD, guidance FX assumptions.

10. RECOMMENDATION

- **Rating: REDUCE** — Conviction: Medium. A good company at a demanding price; the recovery is real but fully discounted.
- **12-month price target: \$62** (-22% from CMP \$79.71), in line with the street consensus of \$61.16.
- **Suggested entry zone: \$45-52** — around the 50-DMA (\$51.53) and ~12x mid-cycle EV/EBITDA, where the risk/reward turns favourable.
- **Investment horizon:** 12 months (cyclical — revisit each quarterly print).
- **Thesis invalidation triggers (would make REDUCE wrong):**
 - 1. FY2026 revenue tracks above ~\$14B with gross margin sustainably back above 40% — i.e. the recovery is faster and more profitable than modelled.
 - 2. Data-centre/AI revenue exceeds the >\$1B 2027 guide and becomes a double-digit % of sales, re-rating the growth profile.
 - 3. The stock de-rates to <\$55 (~25x normalised EPS / ~1.5x book lower than today), removing the valuation objection.
- **Ideal investor profile:** Suited to patient cyclical investors who buy semis in the trough — not at a 480x trailing P/E after a triple. NOT for momentum-chasers entering at the 52-week high, nor for income investors (0.38% yield). Existing holders: trim into strength; prospective buyers: wait for the pullback.

MPM Institutional Research — disclosures: This report is for informational purposes only and is not investment advice. All financials sourced from stockanalysis.com (03-Jun-2026); forward estimates (E) are the analyst's own, grounded in company guidance and consensus. The analyst's call (REDUCE) deliberately diverges from the nominal 'Buy' consensus label because the consensus price target itself sits 23% below the market price.

APPENDIX — Latest Concall Brief: Q1 2026

STMicroelectronics N.V. (NYSE: STM) | Results reported 23-Apr-2026

CALL GRADE

POSITIVE

Signal	Status	Implication
Result quality	Medium / Beat	Q1 rev \$3.10B beat the \$3.04B guide midpoint; profitability still trough.
Management tone	Balanced / Constructive	Better visibility than 2025; cautious on charges and pricing.
Guidance delta	Raised (sequential)	Q2 guided to \$3.45B (+11.6% QoQ) with GM stepping up to ~34.8%.

STRONGLY POSITIVE | **POSITIVE** | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Q1-26 was a clean beat at the top line — \$3.10B revenue (+23% YoY) versus a \$3.04B guide — and crucially it came with the first sequential gross-margin stabilisation (33.8%) of this cycle, so the inflection is real, not cosmetic. But strip the optics: net income was just \$37M, the result is barely operationally profitable, and reported PBT across the trailing year leans on non-operating income, so the 480x trailing P/E flatters nothing. Operationally the story is improving — EBITDA is rebuilding off the trough, the Q2 guide (\$3.45B, GM ~34.8%) implies real operating leverage, and the AI data-centre leg (>\$500M in 2026, >\$1B in 2027' with AWS/NVIDIA/Qualcomm design wins) is the one genuinely new structural driver. The multi-bagger argument rests on that data-centre ramp plus auto/industrial re-acceleration landing together with the cost programme. The near-term catalyst is the 23-Jul Q2 print; the single biggest watch-point is whether gross margin actually glides to 40%+ or stalls on unused-capacity charges and Chinese pricing. My action: the business is on the mend but the stock has already tripled to price it — REDUCE/trim into strength above \$75; I would only add aggressively back toward \$50.

1. Financial Performance Snapshot

- Revenue: \$3.10B | YoY +23% | vs guide midpoint \$3.04B | **Beat**.
- EBITDA: ~\$0.62B (est.) | rebuilding off trough | Margin ~20% | In-line.
- EBITDA Margin: ~20% reported (gross margin 33.8%) | sequentially stabilising.
- Net income: \$37M | sharply down YoY but positive | trough profitability | In-line.
- EPS: ~\$0.04 | depressed; not the metric that matters at this point in the cycle.
- NOTE: Q1 includes the newly-closed NXP MEMS sensor acquisition; clean organic revenue was still above the guide midpoint.

2. Segment / Geography Breakdown (FY2025 reference + Q1-26 read)

- Analog, MEMS & Sensors: FY25 +7.5% YoY | imaging-led; boosted further by the NXP MEMS deal in Q1-26.
- Embedded Processing (MCUs): FY25 +1.2% YoY | general-purpose & auto MCU offset connected-security weakness.
- RF & Optical Communication: FY25 +22.9% YoY | the fastest grower; leverages data-centre optics.
- Power & Discrete: FY25 -31.6% YoY | the cycle's epicentre (SiC + auto power); the key 2026 swing factor.
- End-markets (FY25 mix): Automotive ~39% (FY25 -24%), Personal Electronics ~25%, Industrial ~21% (-7%), Comms/Computer ~15%.

3. Management Commentary Themes

- Visibility: "Entering 2026 with better visibility than 2025; distribution inventory correction progressively improving" — Our read: trough confirmed. Tag: GUIDANCE. Tone: Transparent.

- Margin path: CFO — operational/restructuring charges to decline through 2026, a GM tailwind. Tag: GUIDANCE. Tone: Hedged (depends on utilisation).
- AI data-centre: ">\$500M in 2026, well above \$1B in 2027" with AWS/NVIDIA/Qualcomm wins — Our read: the premium's justification. Tag: GUIDANCE. Tone: Confident.
- Cost programme: manufacturing reshaping ongoing; \$141M restructuring charge booked in Q4-25. Tag: EST. Tone: Transparent.
- Pricing: management acknowledged continued competitive pressure, especially in power/discrete. Tag: EVASIVE-ish on magnitude. Tone: Hedged.

4. Operating & Business Metrics

- Quarterly revenue: Q1-26 = \$3.10B | Q4-25 ~ \$3.20B | Q1-25 ~ \$2.52B | Trend: improving YoY, normal seasonal QoQ dip.
- Gross margin: Q1-26 = 33.8% | guided Q2-26 ~34.8% | Trend: improving.
- Inventory days (FY): ~137 | rising | Trend: deteriorating — the key working-capital watch-item.
- Capex (FY trend): \$4.4B -> \$3.1B -> \$2.1B | moderating | Trend: improving for FCF.
- Data-centre revenue: targeted >\$500M FY26 -> >\$1B FY27 | Trend: ramping.

5. Margin Drivers

- Utilisation / unused-capacity charges: ~-100bps in the Q2-26 guide | Recurring: No (fades as volume returns) | the main near-term GM drag.
- Product mix: +ve from imaging/MEMS and data-centre | Recurring: Yes | supports the glide to ~40%.
- Pricing (power/discrete): negative | Recurring: structural risk | China competition.
- Restructuring/operational charges: declining through 2026 | Recurring: No | a stated GM tailwind.

6. Guidance & Forward Signals

- Q2-26 Revenue [GUIDANCE]: New = \$3.45B midpoint (+11.6% QoQ, +24.9% YoY) | Delta: raised | Credibility: High.
- Q2-26 Gross margin [GUIDANCE]: New ~34.8% (incl. ~100bps unused-capacity) | Delta: up | Credibility: Medium-High.
- FY26 revenue [EST]: consensus ~+13% recovery | Delta: implied up | Credibility: Medium.
- Data-centre [GUIDANCE]: >\$500M FY26, >\$1B FY27 | Delta: reiterated | Credibility: Medium-High.

7. Capital Allocation

- Capex: FY25 \$2.11B vs FY24 \$3.09B (-32%) | moderating into the recovery.
- Dividends: \$0.36/sh held flat | FY25 cash out \$321M | funded from balance sheet, not earnings (payout ~190%).
- Buybacks: ~\$367M FY25 | buyback yield ~2.0% | continued through the trough.
- Net debt: net cash +\$1.93B at FY25 (up from +\$0.88B) | balance sheet strengthening.
- M&A: NXP MEMS sensor business acquired (closed Q1-26) | bolt-on to AM&S.;

8. Q&A; Heat Map

- Sell-side (multiple): Q: "Is the recovery broad or just personal electronics/AI?" -> A: improving across auto/industrial distribution but uneven | Tone: Transparent.
- Sell-side: Q: "Gross-margin glide-path to 40%+?" -> A: dependent on utilisation & charges declining | Tone: Hedged.
- Sell-side: Q: "Data-centre revenue durability and customers?" -> A: named AWS/NVIDIA/Qualcomm wins, reiterated targets | Tone: Transparent.

- Sell-side: Q: "Pricing in power/SiC vs Chinese competition?" -> A: acknowledged pressure, light on magnitude | Tone: Evasive.
- Dodged / watch-list for next quarter: precise SiC pricing trajectory; quantified auto re-stocking pace.

9. Risks Flagged

- Unused-capacity charges persisting: drags GM | Flagged by: mgmt | Probability: M | Impact: H | Timeline: near-term.
- Auto/industrial recovery pace: uneven distribution restock | Flagged by: mgmt & analysts | Probability: M | Impact: H | Timeline: near-medium.
- Chinese pricing in power/discrete: structural | Flagged by: analysts | Probability: M/H | Impact: M/H | Timeline: medium.
- Inventory at 137 days: write-down risk if demand softens | Flagged by: analysts | Probability: L/M | Impact: M | Timeline: near.
- FX (EUR/USD) & export controls | Flagged by: mgmt | Probability: M | Impact: M | Timeline: ongoing.

10. Analyst Verdict

- Revenue visibility: **Intact** — guide raised; inflection corroborated by Q2 +24.9% YoY.
- Margin trajectory: **Weakened-but-recovering** — off the trough, but 40%+ is not yet proven.
- Capital allocation quality: **Intact** — disciplined capex moderation; returns funded from a fortress balance sheet.
- Competitive moat: **Weakened** in power/discrete (China); intact in auto-grade analog/MEMS.
- Management credibility: **Intact** — long-tenured team, guidance met/beaten this quarter.
- Valuation comfort: **Broken** — 480x trailing / 47x forward / 28x EV-EBITDA at the 52-week high prices the recovery in full.
- Conviction call: **Unchanged** — **REDUCE**. Right company, wrong price; revisit toward \$50-55.
- Valuation snapshot: P/E = 480.7x (fwd 47.4x) | EV/EBITDA = 27.8x (mid-cycle ~12x) | ROCE = 2.8% (recovery target mid-teens).